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Hong Kong Property

Read-through from China's Tightened Rules on Outbound Investment

CITI'S TAKE

China tightened regulatory scrutiny on unauthorized offshore brokers on [22-May](#) and unveiled new rules governing outbound investment on [1-June](#). Following these developments, we have received investor enquiries on whether stricter cross-border capital control would constrain Chinese mainland residents in purchasing homes in Hong Kong. In this report, we lay out our thoughts.

Non-HKID transactions accounted for 5.5%/7.2% of residential volume/value in FY2025 — Per data from the Inland Revenue Department ([link](#)), in financial year 2025, individual buyers not holding a Hong Kong Identity Card (HKID) purchased 2,997 residential units (equals 5.5% of total primary and secondary volume) at HK\$31.3bn value (7.2% of total). We see this cohort likely most exposed to any tightening in cross-border capital control. A more widely cited measurement of mainland purchasing activities is based on “Hanyu Pinyin” name of registration, where the share was 26% of total units or 41% of primary units in CY2025, per Centaline. The difference between these two data sets is chiefly explained by HKID-holders with “Hanyu Pinyin” names, which comprises [a] non-permanent residents admitted under talent schemes or study programs, and [b] permanent residents of mainland origin. We believe both groups should be less impacted as they earn HK\$ salaries, and have access to own offshore bank and securities accounts.

Luxury segment likely more resilient than mass — We believe buyers of luxury units or those purchasing mass units in bulk with high lump-sum considerations, could generally see limited impact, as they could have access to capital & FX through offshore dividend income, offshore family business, or offshore structures managed by private banks. On the other hand, single-unit mass market buyers without HKID are likely more impacted, as they could have been accumulating offshore funds via offshore securities account (or insurance products, etc), remaining subject to FX conversion/ remittance quota, and typically lack HK\$-denominated income or asset to qualify for a HK\$ mortgage.

The 2016-17 precedent: capital control alone didn't move non-resident purchase — China tightened capital controls and the enforcement of FX quota in 2016, after its currency policy shift in Aug'2015. Based on BSD data, non-resident purchase was 2.4k/ 3.8k/ 3.5k units in CY2016/17/18, representing for 4.5%/6.2%/6.2% of total volume, and only moderated in 2019 (2.1k units, 3.6%) after the HK social unrest.

Potential positives: redeploy equity proceeds into housing market and accelerate HK residency formation — The forced sell-only rule could generate a pool of liquid HK\$ proceeds that cannot be reinvested into equities and have limited alternatives in compliant offshore investment products. In our view, physical residential property in HK is one of the rational destinations given reasonably attractive yield (avg 3.45% per Centaline, above the return from HK\$ cash deposit or money market products) alongside possible capital gains (home price +9.3% in YTD26), although real assets are less liquid than equities. Separately, the regulation may also incentivize certain mainland Chinese residents to pursue HK residency, which would allow access to offshore brokerage, offshore bank accounts and HK\$ funding.

(Continued)

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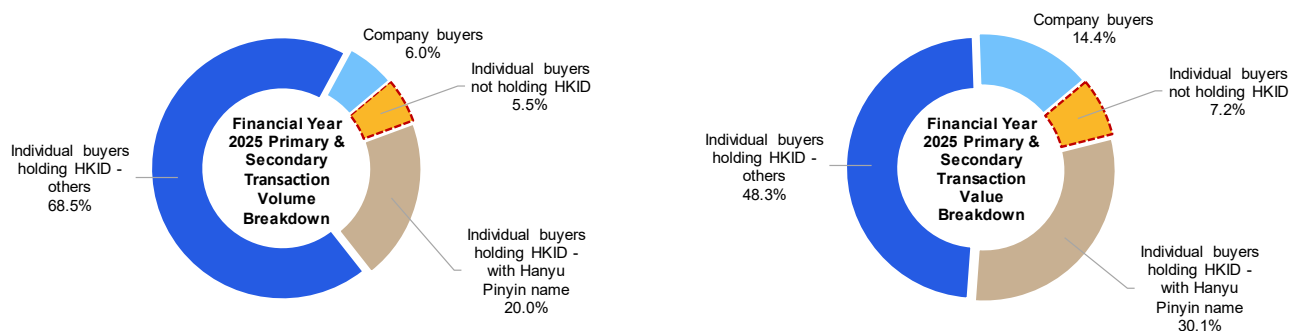
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The bottom line: (1) unwavering Central govt support to HK; (2) global demand meets local supply — We believe national support for HK will remain intact amid global geopolitical uncertainties, underpinning HK's status as a premier international financial center and a global offshore RMB hub, with sustained policy tailwinds to entice capital (e.g., global top new IPOs) and talent to HK. Locally, HK imposes zero restriction on home purchases by non-residents, effectively opening local supply to global demand, and we do not expect any imminent change to HK's housing policy framework (noting home price is still 18% below previous peak).

Some share price volatility, but avoid over-reacting — We understand investor worries on any possible curtailment of mainland buyers of HK residential property and the consequent risk to transaction volume and home prices, which appeared to have weighted on developer share prices today. However, as discussed in this report, we argue (1) real impact is likely confined to the 5.5% home purchase by non-HKID holders, rather than the broader 26% identified under “Hanyu Pinyin” name registration; (2) the wealthier group having access offshore capital via dividend income, family business, or vehicles managed by private banks are unlikely to be affected; (3) any redeployment of equities proceeds into the HK housing market, or an acceleration of HK residency formation, could add mid-term positives; (4) national support to HK (as for HK asset prices) remains unchanged; (5) HK residential is still a market where local supply is open to unconstrained global demand without any purchase restrictions. Against this backdrop, we view today's share price weakness as a potential entry point for investors. Affirm our sector **top picks** as SHKP, CKA, Swire Properties and Link REIT.

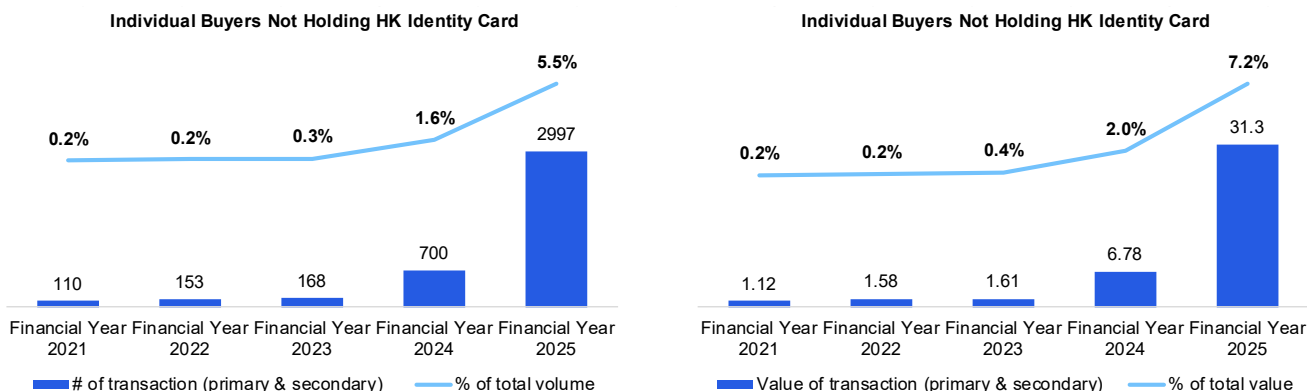
Figure 1. Non-HKID Holders Accounted for 5.5%/7.2% of Residential Volume/Value in FY25



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Source: Hong Kong Inland Revenue Department, Hong Kong Legislative Council, Citi Research Estimates

Figure 2. Residential Purchases by Non-HKID Holders



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Source: Hong Kong Inland Revenue Department, Hong Kong Legislative Council, Citi Research

Figure 3. Non-resident Residential Purchase Measured by BSD in CY2015-2019

Transactions with Buyer's Stamp Duty (BSD) (i.e. non-resident purchases)				
Year	Volume (units)	% of total	Value (HK\$m)	% of total
2015	2,600	4.6%	6,475	1.6%
2016	2,448	4.5%	6,038	1.4%
2017	3,823	6.2%	8,708	1.6%
2018	3,529	6.2%	9,584	1.7%
2019	2,132	3.6%	5,481	1.0%

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Source: Land Registry, Citi Research

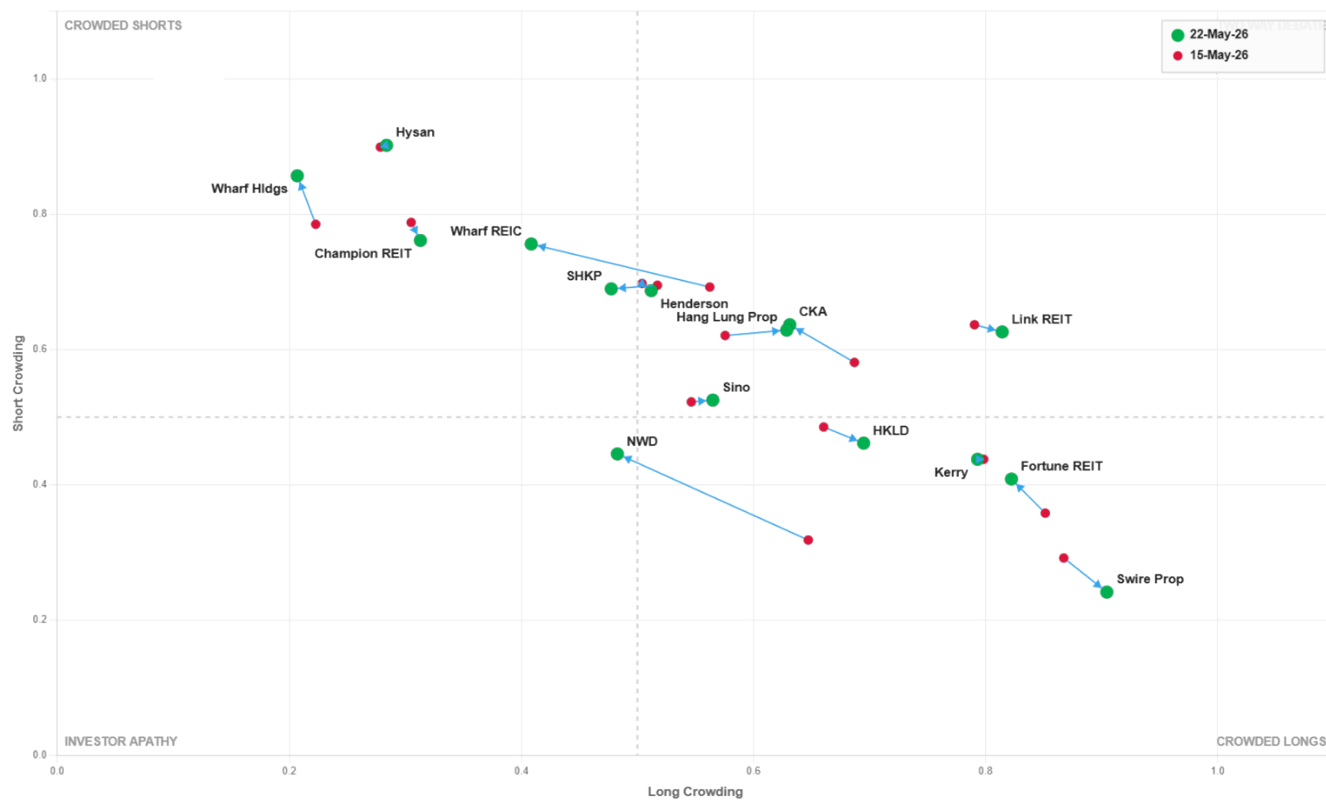
Figure 4. HK Property Sector — Valuations (1-Jun-2026 close) Citi Rating: 1 – Buy; 2 – Neutral; 3 – Sell; H – High Risk

Stock	RIC	1-Jun-26 Price	Mkt Cap (USDm)	Citi Rating	Est. NAV	NAV Disc	Target Price	FY26E	P/E FY27E	FY28E	FY26E	P/B FY27E	FY28E	FY26E	Yield FY27E	FY28E
Wharf	0004.HK	23.20	9,049	3	47.00	-51%	21.15	17.0	16.8	15.9	0.5	0.5	0.5	1.7%	1.7%	1.7%
Henderson Land	0012.HK	30.74	18,995	1	57.00	-46%	34.20	20.6	18.5	16.9	0.5	0.5	0.5	4.1%	4.1%	4.1%
Hysan	0014.HK	18.62	2,441	1	45.74	-59%	24.30	13.5	12.9	12.4	0.3	0.3	0.3	5.8%	5.8%	5.8%
SHK Properties	0016.HK	130.00	48,081	1	210.00	-38%	168.00	16.6	15.5	14.2	0.6	0.6	0.6	3.0%	3.2%	3.5%
NewWorld Dev	0017.HK	8.27	2,656	2	22.65	-63%	11.32	NM	NM	NM	0.1	0.1	0.1	NA	NA	NA
Sino Land	0083.HK	11.78	14,413	1	18.93	-38%	14.20	21.8	21.4	20.4	0.7	0.7	0.7	4.9%	4.9%	4.9%
Hang Lung Ppt	0101.HK	8.02	5,176	1	27.99	-71%	11.20	12.8	12.1	11.5	0.3	0.3	0.3	6.5%	6.5%	6.5%
Kerry Prop	0683.HK	20.50	3,797	1	63.87	-68%	25.55	12.1	7.8	4.9	0.3	0.3	0.3	6.6%	6.6%	6.6%
Fortune REIT	0778.HK	4.83	1,271	1	10.37	-53%	6.00	16.7	17.5	17.6	0.4	0.4	0.4	7.0%	6.7%	6.6%
Link REIT	0823.HK	39.66	13,156	1	55.96	-29%	44.80	15.6	16.0	16.1	0.7	0.7	0.7	6.4%	6.3%	6.2%
CK Asset	1113.HK	47.20	21,084	1	99.18	-52%	54.80	13.4	13.2	12.4	0.4	0.4	0.4	3.9%	3.9%	4.2%
Swire Properties	1972.HK	22.60	16,608	1	51.59	-57%	28.80	17.4	13.6	13.3	0.5	0.5	0.5	5.4%	5.6%	5.9%
Wharf REIT	1997.HK	24.30	9,417	1	57.45	-58%	31.60	11.8	11.6	11.3	0.4	0.4	0.4	5.5%	5.6%	5.7%
Champion REIT	2778.HK	2.41	1,893	3	5.09	-55%	2.03	17.9	18.3	18.2	0.4	0.4	0.4	5.0%	4.9%	4.9%
Hongkong Land	HKLD.SI	7.62	16,358	1	14.86	-49%	9.88	35.5	31.2	25.8	0.5	0.5	0.5	3.5%	3.7%	3.9%
Average						-44%		17.4	17.5	18.2	0.6	0.6	0.6	4.1%	4.2%	4.4%

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Source: dataCentral, Citi Research Estimates Note: listed in the order of stock code; N.M stands for "not meaningful" due to loss-making

Figure 5. HK Property Sector — Quant Screen on Investor Position (1-week change by 22-May-2026)

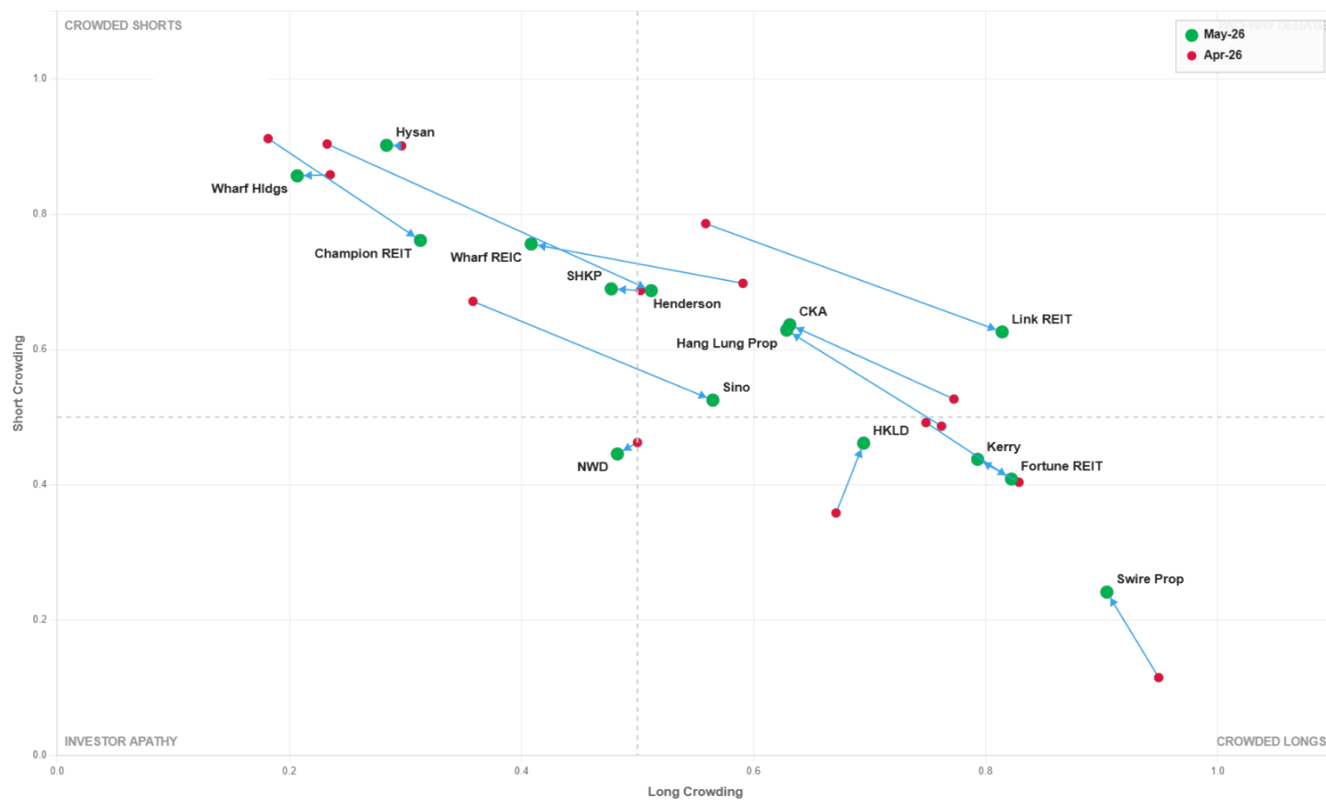


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Note: week on week change, latest week in green dots, previous week in red dots

Source: Citi Research Estimates

Figure 6. HK Property Sector — Quant Screen on Investor Position (1-month change by 22-May-2026)



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Note: month on month change, latest month in green dots, previous month in red dots

Source: Citi Research Estimates

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